

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 17-05

CMI DISTRIBUTION, INC.

COMPLAINANT,

v.

SERVICE BY AIR, INC., RADIANT CUSTOMS SERVICES INC. (FORMERLY KNOWN
AS SBA CONSOLIDATORS, INC.) and LAS FREIGHT SYSTEM LTD.

RESPONDENTS.

SUPPLEMENTARY MEMORANDUM OF RESPONDENTS
SERVICE BY AIR, INC. AND RADIANT CUSTOMS SERVICES INC.
REGARDING NEW LEGAL DEVELOPMENT

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I. Introduction

The Federal Maritime Commission (Commission) adopted a new interpretive rule regarding Section 10(d)(1) of the 1984 Shipping Act that went into effect December 17, 2018. Under the new rule, a regulated entity must be shown to have committed an unreasonable or unjust act *on a normal, customary, and continuous basis* before it may be held liable for a violation of Section 10(d)(1). This new rule bears directly on the instant case. Complainant CMI Distribution, Inc. (CMI), has not alleged more than a single act of Respondents claimed to be violative of Section 10(d)(1). Therefore, under the new interpretive rule, even taking Complainant's allegations as true, Respondents may not be held liable.

The parties' briefing regarding the merits of Complainant's claims against Respondent Service by Air, Inc. (SBA) remains pending before the Commission. Respondents SBA and Radiant Customs Services Inc. (Radiant) bring this supplementary memorandum pursuant to 46 C.F.R. § 502.69 and 46 C.F.R. § 502.216 to advise the Presiding Officer of the application of this new interpretive rule to the instant case.

II. Factual Background

The factual background on this case has already been briefed, and Respondents incorporate by reference the factual background contained in the Brief of Respondents filed on May 2, 2018. Significantly for purposes of this memorandum, CMI has alleged that Respondents violated Section 10(d)(1) of the Shipping Act by overcharging CMI for storage and demurrage services. Respondents have consistently denied this allegation.

III. Argument

During the pendency of this case, the Commission issued a revised interpretation of the scope of 46 U.S.C. 41102(c)—also known as Section 10(d)(1) of the Shipping Act of 1984. *See* Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64,478-64,480 (Dec. 17, 2018) (to be

codified at 46 C.F.R. 545.4). Section 10(d)(1) provides that regulated entities “may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” The Commission’s new interpretive rule clarifies that in order to violate Section 10(d)(1), a regulated entity must engage in an unjust or unreasonable practice or regulation “*on a normal, customary, and continuous basis.*” (Emphasis added.) Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64,478 (Dec. 17, 2018).

This change is reflected in 46 C.F.R. § 545.4, which lays out the elements necessary to establish a successful claim under Section 10(d)(1): (a) the respondent must be an ocean common carrier, marine terminal operator, or ocean transportation intermediary; (b) the claimed acts or omissions of the regulated entity must occur on a normal, customary, and continuous basis; (c) the practice or regulation must relate to or be connected with receiving, handling, storing, or delivering property; (d) the practice or regulation must be unjust or unreasonable; and (e) the practice or regulation must be the proximate cause of the claimed loss. *See also* Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64,478, 64,480 (Dec. 17, 2018).

As expressed in the agency statement adopting the interpretive rule, the new rule “bring[s] the Commission’s interpretation of the Shipping Act’s prohibition on unjust and unreasonable practices in line with the plain language meaning of the word ‘practice,’ Commission precedent and the intent of Congress.” Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64,478, 64,478 (Dec. 17, 2018).

The Commission’s newest interpretive rule has direct application to this case. CMI has alleged a violation of Section 10(d)(1) based on allegedly unjust pricing practices. However, CMI’s complaint does not allege that Respondents engaged in unjust, unreasonable pricing

practices on a normal, customary, and continuous basis. Instead, the complaint solely alleges discrete instances of allegedly improper pricing practices only toward CMI. Consequently, CMI has not alleged a violation of Section 10(d)(1) as that section is interpreted by the Commission.

The Commission has already acknowledged that its new interpretive rule will prevent certain claims—like the one in this case—from being brought under the Shipping Act. Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64,478, 64,479 (Dec. 17, 2018). The Commission regards the narrowed scope of claims that may be brought under the Shipping Act positively, however, as it enhances agency efficiency, “allow[ing] the Commission to better meet its mission as intended by Congress,” without depriving litigants of access to justice. Claims involving “individual instances” of allegedly unjust practices are, according to the Commission, “better suited for resolution” in alternative venues and by application of other laws. Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64,478 (Dec. 17, 2018).

This case is precisely the kind of case which the Commission has expressed is inappropriate for resolution by the Commission. *See* Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64,478 (Dec. 17, 2018). Consequently, in resolving this case, the Presiding Officer should bear in mind the Commission’s own interpretive rule regarding the conduct required to find a Section 10(d)(1) violation.

IV. Conclusion

For the foregoing reasons, the Court should apply interpretive rule 46 C.F.R. § 545.4 to the instant case. Because Complainant has not alleged any conduct in violation of Section 10(d)(1) of the Shipping Act as interpreted by the Federal Maritime Commission, CMI’s claims based on Section 10(d)(1) should be dismissed.

Respectfully submitted,



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February 5, 2019

CERTIFICATE OF SERVICE

The undersigned declares that on the date stated below I caused to be served the foregoing document, upon the following in the manner of service indicated:

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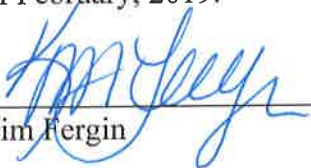
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I declare under penalty of perjury under the laws of the state of Washington that the foregoing is true and correct.

Executed at Seattle, Washington, this 5th day of February, 2019.



Kim Fergin